WILLIAMSON TEA KENYA PLC
AUDITED RESULTS FOR THE YEAR ENDED 31ST MARCH 2024

Website: www.williamsontea.com

SUMMARISED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2024

	2024 Ksh'000	2023 Ksh'000
Continuing Operations		
Revenue	4,194,358	4,019,821
Gain/Loss from operations before tax	330,376	447,041
Increase in fair value of biological assets	73,612	109,893
Net finance income	122,717	160,921
Share of profit of associate company	157,986	124,420
Profit before taxation	684,731	842,275
Tax (charge)	(157,881)	(277,925)
Profit for the year from continuing operations	527,050	564,350
Loss from discontinued operations	(97)	(69)
Profit for the year	**526,953**	**564,281**
Attributable to:		
Equity holders of the company	497,478	515,169
Non-controlling interest	29,475	49,112
Profit for the year	**526,953**	**564,281**
Other comprehensive income	476,834	15,093
Attributable to:		
Equity holders of the company	449,954	14,392
Non-controlling interest	26,880	701
Total other comprehensive income for the year	**476,834**	**15,093**
Total comprehensive income for the year	**1,003,787**	**579,374**
Attributable to:		
Equity holders of the company	947,432	529,561
Non-controlling interest	56,355	49,813
	1,003,787	**579,374**
Issued shares of Ksh 5 each	17,512,640	17,512,640
Earnings per share - Basic and diluted	**28.41**	**29.42**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2024

	Share Capital Ksh'000	Revaluation Reserve Ksh'000	Retained Earnings Ksh'000	Equity Attributable to owners of the company Ksh'000	Non-controlling Interest Ksh'000	Total Ksh'000
Balance at 1 April 2022	87,563	1,260,536	4,750,095	6,098,194	216,437	6,314,631
Profit for the year	-	-	515,169	515,169	49,112	564,281
Other comprehensive income	-	14,392	-	14,392	701	15,093
Total comprehensive income for the year	-	14,392	515,169	529,561	49,813	579,374
Excess depreciation transfer	-	(97,385)	97,385	-	-	-
Deferred tax on excess depreciation	-	27,548	(27,548)	-	-	-
Final dividends declared - 2022	-	-	(350,253)	(350,253)	(7,087)	(357,340)
Balance at 31 March 2023	**87,563**	**1,205,091**	**4,984,848**	**6,277,502**	**259,163**	**6,536,665**
Balance at 1 April 2023	87,563	1,205,091	4,984,848	6,277,502	259,163	6,536,665
Profit for the year	-	-	497,478	497,478	29,475	526,953
Other comprehensive income	-	449,954	-	449,954	26,880	476,834
Total comprehensive income for the year	-	449,954	497,478	947,432	56,355	1,003,787
Excess depreciation transfer	-	(85,358)	85,358	-	-	-
Deferred tax on excess depreciation	-	25,607	(25,607)	-	-	-
Final dividends declared - 2023	-	-	(700,506)	(700,506)	(28,248)	(728,854)
Balance at 31 March 2024	**87,563**	**1,595,294**	**4,841,571**	**6,524,428**	**287,170**	**6,811,598**

COMMENTARY ON THE RESULTS
A record crop, the introduction of new technology and the consistent hard-work of management combined with the depreciation of the Kenyan Shilling to secure pleasing results for the period decsite the fall line market.

DIVIDEND
During the year an interim dividend of Ksh 10.00 per ordinary share was declared and paid. The directors have proposed a final dividend of Ksh 15.00 per ordinary share to be approved at the annual general meeting on 22nd August 2024. The recommended final dividend, subject to approval, will accrue to the members on the register at the close of business on 31st July 2024. Thereafter, the register will remain closed from 1st August to 2nd August 2024, both days inclusive.

PROSPECTS
Despite the positive results of the period the prospects for the Company and Kenyan Tea industry are dim.
Tea prices have declined to unsustainable levels in the face of market saturation and the consequences of an estimated 200million/kg of unsold KTDA teas, whilst the Kenyan Shilling has also stabilised. Dramatic action is required to enable the market to return to a normal dynamic and for prospects to improve.
The destruction of all unsold KTDA teas and the removal of the auction minimum pricing system is needed with immediate effect.

SUMMARY OF KEY AUDIT MATTER
The auditors' report on the consolidated and company financial statements includes the following key audit matter: Valuation of biological assets.

BASIS OF PREPARATION OF SUMMARISED CONSOLIDATED FINANCIAL STATEMENTS
The summarised consolidated financial statements have been prepared in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summarised financial statements.

NOTICE OF THE ANNUAL GENERAL MEETING
NOTICE IS HEREBY GIVEN that the 91st Annual General Meeting of the Shareholders will be held virtually on Thursday 22nd August 2024 at 11.30 a.m. for the following purposes:

Ordinary Business:

1) To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2024.
2) To declare dividends:
   i) To ratify the payment of interim dividend of Shs. 10 .00 per share paid on 13th December 2023
   ii) To approve final dividend of Kshs 15.00 per share in respect of the year ended 31st March 2024 payable on 2nd September 2024, to shareholders on the Register of Members as at close of business on 31st July 2024.
3) To re-elect Directors:
   i) In accordance with Article 108 of the Company's Articles of Association, Mr. Ezekiel Ndichu Kimati Wanjama and offers himself for re-election.
   ii) In accordance with Article 108 of the Company's Articles of Association, Mr. Philip Magor retires by rotation and offers himself for re-election.
4) In accordance with the provisions of Section 769 of the Companies Act 2015, the following directors being members of the Governance and Audit Committee, be appointed individually to continue to serve as members of the said committee:
   i) Mr Mathew Koech
   ii) Mr James Patrick Brooks
   iii) Mr Edward Charles Magor
5) To approve the remuneration of the Directors
6) To note that PricewaterhouseCoopers LLP continue in office and authorize Directors to agree to their remuneration.
7) To transact such other business as may be brought before the meeting.

B) Special business
To consider and if thought fit to pass the following resolution as ordinary resolution
i) That in pursuance of article 52 of the company's articles of association, "that the authorized share capital of the company be increased from shillings one hundred nine million, four hundred fifty four thousand (Shs.109,454,000) divided into twenty one million, eight hundred ninety thousand, eight hundred (21,890,800) ordinary shares of shillings five (shs.5) to shillings two hundred fifty million (shs.250,000,000) divided into fifty million (50,000,000) ordinary shares of shillings five (shs.5) each by the creation of twenty eight million, one hundred nine thousand two hundred (28,109,200) ordinary shares of shillings five (shs.5) each to rank pari passu with the existing ordinary shares of the company in all respects."

G K MAGAKI
COMPANY SECRETARY

SUMMARISED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2024

	2024 Ksh'000	2023 Ksh'000
ASSETS		
Non current assets		
Property, plant and equipment	4,459,812	3,800,628
Intangible assets	907	1,480
Right of use assets	102,512	77,378
Investments	1,240,263	1,144,221
Biological assets – timber and fuel trees	736,217	741,063
	6,539,711	**5,764,769**
Current assets		
Un-harvested green leaf	32,691	27,088
Inventories	1,030,396	650,109
Trade and other receivables	628,542	440,657
Corporate tax recoverable	51,243	16,274
Cash and bank balances	716,274	1,475,148
	2,459,350	**2,609,276**
Asset Classified as held for sale	**32,645**	**33,871**
Total Assets	**9,031,506**	**8,438,027**
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	87,563	87,563
Revaluation surplus	1,595,294	1,205,091
Retained earnings	4,841,571	4,984,848
Equity attributable to owners of the company	6,524,428	6,277,502
Non-controlling interest	287,170	259,163
Shareholders' funds	**6,811,598**	**6,536,665**
Non current liabilities		
Deferred tax liability	1,163,505	1,068,928
Post-employment benefits obligation	144,067	158,892
Borrowings	114,123	147,010
Lease Liabilities	28,676	3,528
	1,450,371	**1,378,358**
Current liabilities		
Borrowings	37,840	48,744
Trade and other payables	612,659	387,257
Dividends payable	113,433	73,680
Lease liabilities	5,605	3,323
	769,537	**513,004**
Total equity and liabilities	**9,031,506**	**8,428,027**

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2024

	2024 Ksh'000	2023 Ksh'000
Cash flows from operating activities		
Cash generated from operations	532,781	1,017,091
Interest received	59,266	70,055
Interest paid on borrowings	(10,738)	(11,234)
Taxation paid	(271,307)	(103,454)
Net cash generated from operating activities	**310,002**	**972,458**
Cash flows from investing activities		
Purchase of property, plant and equipment	(475,577)	(243,344)
Purchase of intangible assets	(185)	(1,207)
Proceeds from disposal of property, plant and equipment	22,992	3,011
Expenditure on biological assets	(8,714)	(7,053)
Dividends received from - an associate company	108,331	31,407
Net cash used in investing activities	**(353,153)**	**(217,139)**
Cash flows from financing activities		
Payment of lease liabilities	(8,460)	(8,875)
Repayment of borrowings	(49,367)	(40,121)
Borrowings received	1,770	2,056
Dividends paid to shareholders	(660,753)	(247,013)
Dividend paid to minority interest	(28,248)	(7,087)
Net cash used in financing activities	**(745,058)**	**(301,040)**
Increase/(decrease) in cash and cash equivalents	(788,209)	356,880
Movement in cash and cash equivalents		
Cash and cash equivalents at start of year	1,475,148	1,068,830
Foreign currency translation	29,414	22,838
Increase/(decrease) in cash and cash equivalents	(788,209)	356,880
Cash and cash equivalents reclassified as held for sale	25	25,600
Cash and cash equivalents at end of year	**716,274**	**1,475,148**

INDEPENDENT AUDITOR'S REPORT ON THE SUMMARY FINANCIAL STATEMENTS
TO THE SHAREHOLDERS OF WILLIAMON TEA KENYA PLC

Opinion

We have audited the accompanying financial statements of Williamson Tea Kenya Plc (the Company) and its subsidiaries (together, the Group) set out on pages 24 to 97, which comprise the consolidated statement of financial position at 31 March 2024 and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement statement of cash flows for the year then ended, together with the Company statement of financial position at 31 March 2024, and the Company statements of profit or loss and other comprehensive income, changes in equity, and cash flows for the year then ended, and the notes, which include significant accounting policies and other explanatory information.

In our opinion the accompanying financial statements give a true and fair view of the financial position of the Group and the Company at 31 March 2024 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act, 2015.

Summary financial statements
The summary financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Companies Act, 2015.

Reading the summary financial statements and the auditor's report thereon, therefore, is not a substitute for reading the audited financial statements and the auditor's report thereon. The summary financial statements report and the audited financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited financial statements.

The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our audit report dated 27th June 2024 was prepared in accordance with the Kenyan Companies Act. 2015.

That audit report also includes the communication of the following matters that, in our professional judgement, were of more significance in our audit of the financial statements (key audit matters) of the current period.

- Valuation of biological assets

Directors' responsibility for the summary financial statements

The directors are responsible for the preparation of the summary financial statements in accordance with the International Financial Reporting Standards and Kenyan Companies Act 2015.

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), *Engagements to report on summary financial statements* .

FCPA Michael Mugasa, Practicing Certificate Number 1478
Engagement partner responsible for the audit

For and on behalf of PricewaterhouseCoopers LLP
Certified Public Accountants
Nairobi

27 June 2024

The above extract is based on the Financial Statements of Williamson Tea Kenya PLC Group for the year ended 31 March 2024 as audited by PricewaterhouseCoopers LLP who have issued an unmodified report. The consolidated and company financial Statements have been prepared in accordance with the International Financial Reporting Standards.
The Group's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com